

demonstrably clear when the two friends spent an afternoon answering questions from students packed into an auditorium at the University of Washington in Seattle. One of the first questions a student asked was, “How did you get here? How did you become richer than God?” Buffett took a deep breath and began:

“How I got here is pretty simple in my case. It is not IQ, I’m sure you will be glad to hear. The big thing is rationality. I always look at IQ and talent as representing the horsepower of the motor, but that the output—the efficiency with which the motor works—depends on rationality. A lot of people start out with 400 horsepower motors but only get 100 horsepower of output. It’s way better to have a 200 horsepower motor and get it all into output.

“So why do smart people do things that interfere with getting the output they’re entitled to?” Buffett continued. “It gets into the habits and character and temperament, and behaving in a rational manner. Not getting in your own way. As I have said, everybody here has the ability absolutely to do anything I do and much beyond. Some of you will, and some of you won’t. For those who won’t, it will be because you get in your own way, not because the world doesn’t allow you.”⁶

All who know him, and Buffett himself, agree: The driving force of Warren Buffett is rationality. The driving force of his investment strategy is the rational allocation of capital. Determining how to allocate a company’s earnings is the most important decision a manager will make; determining how to allocate one’s savings is the most important decision an investor will make. Rationality—displaying rational thinking when making that choice—is the quality Buffett most admires. Despite its underlying vagaries, there is a line of reason that permeates the financial markets. Buffett’s success is a result of locating that line of reason and never deviating from its path.

Analytical Advantage

When Buffett invests, he sees a business. Most investors see only a stock price. They spend far too much time and effort watching, predicting, and anticipating price changes and far too little time understanding the business